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AS AMENDED

By: Schreiber of the House

Howard of the Senate

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1 circumstances; providing representation power by a
2 holder of general testamentary power of appointment;
3 providing representation powers by fiduciaries and
4 parents; providing for representation in certain
5 instances by a person having substantiality identical
6 interests; providing for appointment of a
7 representative; providing power and duties of
8 representative; providing methods of creating a
9 trust; providing requirements for creating a trust;
10 providing when a trust created in another state is
11 valid; providing trust purpose; providing purpose of
12 a charitable trust; providing a court select purpose
13 or beneficiary for a charitable trust in certain
14 circumstances; providing who may maintain a
15 proceeding to enforce a charitable trust; providing
16 that a trust is void if the creation was induced by
17 fraud, duress, or undue influence; providing
18 requirements for an oral trust; providing rules for
19 noncharitable trust created without ascertainable
20 beneficiary; providing when a trust terminates;
21 providing who may commence a proceeding for the
22 modification and termination of a trust; providing
23 procedure for the modification or termination of a
24 noncharitable irrevocable trust; providing that the
court may modify or terminate a trust in certain
circumstances; providing that a court may apply cy
pres to modify or terminate charitable trust in
certain circumstances; providing for modification or
termination of uneconomic trusts in certain
circumstances; providing for manner of distribution
if uneconomic trust is terminated; providing trust
that are exempt from modification or termination if
they are uneconomical; providing that a court may
reform a trust to correct certain mistakes; providing
that a court may modify a trust to achieve a settlors
tax objectives; providing that a trustee may combine
multiple trusts into a single trust; providing that a
trustee may divide a single trust into multiple
trusts; providing that whether or not the terms the
trust contain a spend thrift certain rules apply for
creditors claim against a settlor; providing rules
for a creditors claims against a settlor; providing
required capacity of settlor of a revocable trust;
providing power of settlor in a revocable trust;
providing power of settlor has power of withdrawal
for a revocable trust; providing limitations on
actions contesting the validity of a revocable trust;

1 providing for a beneficiary of a trust to return any
2 distributions in certain circumstances; providing for
3 accepting or declining of trusteeship; providing when
4 a trustee is required to post a bond; providing
5 procedures and requirements for co-trustees of a
6 trust; providing when a vacancy in a trusteeship
7 occurs; providing for appointment of successor
8 trustees; providing procedure for the resignation of
9 a trustee; providing for the removal of a trustee by
10 the court; requiring former trustees to deliver
11 property held to a successor trustee; providing for
12 compensation of trustees; providing for reimbursement
13 of expenses by a trustee; providing duty of trustees
14 to administer trust; providing for a duty of loyalty
15 by a trustee; providing for impartiality by a trustee
16 when a trust has more than one beneficiary; requiring
17 a trustee to administer trust prudently; providing
18 what costs a trustee may incur in administering the
19 trust; requiring trustees who were selected because
20 of a special skill or expertise to use such skill or
21 expertise in administering the trust; providing that
22 a trustee may delegate duties and powers; providing
23 requirements for delegating duties and powers;
24 providing that trustee shall take reasonable steps to
take control of and protect the trust property;
providing requirements for recordkeeping and
identification of trust property by a trustee;
requiring that a trustee shall take reasonable steps
to enforce claim of the trust and to defend claims
against the trust; requiring a trustee to collect
trust property from former trustees and to redress a
breach of trust committed by a former trustee;
providing that a trustee has a duty to inform and
make reports to certain individuals; providing
trustee has certain discretionary powers; providing
general powers of a trustee; providing specific
powers of trustee; providing procedure and
requirements for distribution of a trust upon
termination; providing when a trustee is entitled to
a contribution by a co-trustee; providing that a
trustee is accountable to a beneficiary for any
profit made by the trustee, even absent a breach of
trust; providing that absent a breach of trust, a
trustee is not liable to a beneficiary for a loss or
deprivation in the value of the trust or for not
making a profit; providing that a trustee is not
liable for a breach of trust if reasonably relying

1 upon the terms of the trust; providing that a trustee
2 is not liable for certain events that occur that
3 affect administration or distribution of a trust;
4 providing limitation on personal liability of a
5 trustee; providing that trustees who hold an interest
6 as a general partner in a general or limited
7 partnership is not personally liable for certain
8 actions and events; providing that a trustee may
9 provide a certification of trust in certain
10 circumstances; providing requirements of a
11 certification of trust; providing exemptions for a
12 certification of trust may be used; providing
13 requirements for electronic records and signatures;
14 providing for severability of act for provisions that
15 are held invalid; providing application to existing
16 relationships; providing for codification; and
17 providing an effective date.

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BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

ARTICLE 1

GENERAL PROVISIONS AND DEFINITIONS

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section **1601.1** of Title 60, unless there
is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma
Uniform Trust Code".

SECTION 2. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section **1601.2** of Title 60, unless there
is created a duplication in numbering, reads as follows:

1 The Oklahoma Uniform Trust **Code** applies to express trusts,
2 charitable or noncharitable, and trusts created pursuant to a
3 statute, judgment, or decree that requires the trust to be
4 administered in the manner of an express trust.

5 SECTION 3. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section **1601.3** of Title 60, unless there
7 is created a duplication in numbering, reads as follows:

8 As used in this act:

9 1. "Action", with respect to an act of a trustee, includes a
10 failure to act;

11 2. "Ascertainable standard" means a standard relating to an
12 individual's health, education, support, or maintenance within the
13 meaning of Section 2041(b)(1)(A) or 2514(c)(1) of the Internal
14 Revenue Code of 1986, as in effect on the effective date of this
15 act, or as later amended;

16 3. "Beneficiary" means a person who:

17 a. has a present or future beneficial interest in a
18 trust, vested or contingent, or

19 b. in a capacity other than that of trustee, holds a
20 power of appointment over trust property;

21 4. "Charitable trust" means a trust, or portion of a trust,
22 created for a charitable purpose described in subsection A of
23 Section 24 of this act;

1 5. "Environmental law" means a federal, state, or local law,
2 rule, regulation, or ordinance relating to the protection of the
3 environment;

4 6. "Guardian of the property" means a person appointed by the
5 court to administer the estate of a minor or adult individual;

6 7. "Guardian of the person" means a person appointed by the
7 court to make decisions regarding the support, care, education,
8 health, and welfare of a minor or adult individual. The term does
9 not include a guardian ad litem;

10 8. "Interests of the beneficiaries" means the beneficial
11 interests provided in the terms of the trust;

12 9. "Jurisdiction", with respect to a geographic area, includes
13 a state or country;

14 10. "Person" means an individual, corporation, business trust,
15 estate, trust, partnership, limited liability company, association,
16 joint venture, government, governmental subdivision, agency, or
17 instrumentality, public corporation, or any other legal or
18 commercial entity;

19 11. "Power of withdrawal" means a presently exercisable general
20 power of appointment other than a power:

21 a. exercisable by a trustee and limited by an
22 ascertainable standard, or

23 b. exercisable by another person only upon consent of the
24 trustee or a person holding an adverse interest;

1 12. "Property" means anything that may be the subject of
2 ownership, whether real or personal, legal or equitable, or any
3 interest therein;

4 13. "Qualified beneficiary" means a beneficiary who, on the
5 date the beneficiary's qualification is determined:

6 a. is a distributee or permissible distributee of a
7 present interest in the trust income or principal, or
8 has a vested remainder in the trust,

9 b. is a charitable organization expressly entitled to
10 receive benefits under the terms of a charitable
11 trust, or

12 c. is the Attorney General of this state with respect to
13 a charitable trust having its principal place of
14 administration in this state;

15 14. "Revocable", as applied to a trust, means revocable by the
16 settlor without the consent of the trustee or a person holding an
17 adverse interest;

18 15. "Settlor" means a person, including a testator, who
19 creates, or contributes property to, a trust. If more than one
20 person creates or contributes property to a trust, each person is a
21 settlor of the portion of the trust property attributable to that
22 person's contribution except to the extent another person has the
23 power to revoke or withdraw that portion;

1 16. "Spendthrift provision" means a term of a trust which
2 restrains both voluntary and involuntary transfer of a beneficiary's
3 interest;

4 17. "State" means a state of the United States, the District of
5 Columbia, Puerto Rico, the United States Virgin Islands, or any
6 territory or insular possession subject to the jurisdiction of the
7 United States. The term includes an Indian tribe or band recognized
8 by federal law or formally acknowledged by a state;

9 18. "Terms of a trust" means:

10 a. except as otherwise provided in subparagraph b of this
11 paragraph, the manifestation of the settlor's intent
12 regarding a trust's provisions as:

13 (1) expressed in the trust instrument, or

14 (2) established by other evidence that would be
15 admissible in a judicial proceeding, or

16 b. the trust's provisions, as established, determined, or
17 amended by:

18 (1) a trustee or other person in accordance with
19 applicable law,

20 (2) a court order, or

21 (3) a nonjudicial settlement agreement under Section
22 1402 of Title 60 of the Oklahoma Statutes;

1 19. "Trust instrument" means an instrument executed by the
2 settlor that contains terms of the trust, including any amendments
3 thereto; and

4 20. "Trustee" includes an original, additional, and successor
5 trustee, and a co-trustee.

6 SECTION 4. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section **1601.4** of Title 60, unless there
8 is created a duplication in numbering, reads as follows:

9 A. Subject to subsection B of this section, a person has
10 knowledge of a fact if the person:

11 1. Has actual knowledge of it;

12 2. Has received a notice or notification of it; or

13 3. From all the facts and circumstances known to the person at
14 the time in question, has reason to know it.

15 B. An organization that conducts activities through employees
16 has notice or knowledge of a fact involving a trust only from the
17 time the information was received by an employee having
18 responsibility to act for the trust, or would have been brought to
19 the employee's attention if the organization had exercised
20 reasonable diligence. An organization exercises reasonable
21 diligence if it maintains reasonable routines for communicating
22 significant information to the employee having responsibility to act
23 for the trust and there is reasonable compliance with the routines.
24 Reasonable diligence does not require an employee of the

1 organization to communicate information unless the communication is
2 part of the individual's regular duties or the individual knows a
3 matter involving the trust would be materially affected by the
4 information.

5 SECTION 5. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section **1601.5** of Title 60, unless there
7 is created a duplication in numbering, reads as follows:

8 A. Except as otherwise provided in the terms of the trust, this
9 act governs the duties and powers of a trustee, relations among
10 trustees, and the rights and interests of a beneficiary.

11 B. The terms of a trust prevail over any provision of this act
12 except:

13 1. The requirements for creating a trust;

14 2. Subject to the Oklahoma Uniform Directed Trust Act, Sections
15 1209, 1211, and 1212 of Title 60 of the Oklahoma Statutes, the duty
16 of a trustee to act in good faith and in accordance with the terms
17 and purposes of the trust and the interests of the beneficiaries;

18 3. The requirement that a trust and its terms be for the
19 benefit of its beneficiaries, and that the trust have a purpose that
20 is lawful, not contrary to public policy, and possible to achieve;

21 4. The power of the court to modify or terminate a trust under
22 Sections 28 through 34 of this act;

1 5. The effect of a spendthrift provision and the rights of
2 certain creditors and assignees to reach a trust as provided in
3 Section 36 of this act;

4 6. The power of the court under Section 41 of this act to
5 require, dispense with, or modify or terminate a bond;

6 7. The power of the court under subsection B of Section 47 of
7 this act to adjust a trustee's compensation specified in the terms
8 of the trust which is unreasonably low or high;

9 8. The duty under paragraphs 2 and 3 of Section 60 of this act
10 to notify qualified beneficiaries of an irrevocable trust who have
11 attained twenty-five (25) years of age of the existence of the
12 trust, of the identity of the trustee, and of their right to request
13 trustee's reports;

14 9. The duty under subsection A of Section 60 of this act to
15 respond to the request of a qualified beneficiary of an irrevocable
16 trust for trustee's reports and other information reasonably related
17 to the administration of a trust;

18 10. The rights under Sections 68 through 71 of this act of a
19 person other than a trustee or beneficiary;

20 11. Periods of limitation for commencing a judicial proceeding;

21 12. The power of the court to take such action and exercise
22 such jurisdiction as may be necessary in the interests of justice;
23 and
24

1 13. The subject matter jurisdiction of the court and venue for
2 commencing a proceeding as provided in Section 14 of this act.

3 SECTION 6. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1601.6** of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 The common law of trusts and principles of equity supplement
7 this act, except to the extent modified by this act or another
8 statute of this state.

9 SECTION 7. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section **1601.7** of Title 60, unless there
11 is created a duplication in numbering, reads as follows:

12 The meaning and effect of the terms of a trust are determined
13 by:

14 1. The law of the jurisdiction designated in the terms unless
15 the designation of that jurisdiction's law is contrary to a strong
16 public policy of the jurisdiction having the most significant
17 relationship to the matter at issue; or

18 2. In the absence of a controlling designation in the terms of
19 the trust, the law of the jurisdiction having the most significant
20 relationship to the matter at issue.

21 SECTION 8. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section **1601.8** of Title 60, unless there
23 is created a duplication in numbering, reads as follows:

1 A. Without precluding other means for establishing a sufficient
2 connection with the designated jurisdiction, terms of a trust
3 designating the principal place of administration are valid and
4 controlling if:

5 1. A trustee's principal place of business is located in or a
6 trustee is a resident of the designated jurisdiction; or

7 2. All or part of the administration occurs in the designated
8 jurisdiction.

9 B. A trustee is under a continuing duty to administer the trust
10 at a place appropriate to its purposes, its administration, and the
11 interests of the beneficiaries.

12 C. Without precluding the right of the court to order, approve,
13 or disapprove a transfer, the trustee, in furtherance of the duty
14 prescribed by subsection B of this section, may transfer the trust's
15 principal place of administration to another state or to a
16 jurisdiction outside of the United States.

17 D. The trustee shall notify the qualified beneficiaries of a
18 proposed transfer of a trust's principal place of administration not
19 less than sixty (60) days before initiating the transfer. The
20 notice of proposed transfer must include:

21 1. The name of the jurisdiction to which the principal place of
22 administration is to be transferred;

23 2. The address and telephone number at the new location at
24 which the trustee can be contacted;

1 3. An explanation of the reasons for the proposed transfer;

2 4. The date on which the proposed transfer is anticipated to
3 occur; and

4 5. The date, not less than sixty (60) days after the giving of
5 the notice, by which the qualified beneficiary must notify the
6 trustee of an objection to the proposed transfer.

7 E. The authority of a trustee under this section to transfer a
8 trust's principal place of administration terminates if a qualified
9 beneficiary notifies the trustee of an objection to the proposed
10 transfer on or before the date specified in the notice.

11 F. In connection with a transfer of the trust's principal place
12 of administration, the trustee may transfer some or all of the trust
13 property to a successor trustee designated in the terms of the trust
14 or appointed pursuant to Section 43 of this act.

15 SECTION 9. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section **1601.9** of Title 60, unless there
17 is created a duplication in numbering, reads as follows:

18 A. Notice to a person under this act or the sending of a
19 document to a person under this act must be accomplished in a manner
20 reasonably suitable under the circumstances and likely to result in
21 receipt of the notice or document. Permissible methods of notice or
22 for sending a document include first-class mail, personal delivery,
23 delivery to the person's last known place of residence or place of
24 business, or a properly directed electronic message.

1 B. Notice otherwise required under this act or a document
2 otherwise required to be sent under this act need not be provided to
3 a person whose identity or location is unknown to and not reasonably
4 ascertainable by the trustee.

5 C. Notice under this act or the sending of a document under
6 this act may be waived by the person to be notified or sent the
7 document.

8 D. Notice of a judicial proceeding must be given as provided in
9 the applicable rules of civil procedure.

10 SECTION 10. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1601.10** of Title 60, unless
12 there is created a duplication in numbering, reads as follows:

13 The rules of construction that apply in this state to the
14 interpretation of and disposition of property by will also apply as
15 appropriate to the interpretation of the terms of a trust and the
16 disposition of the trust property.

17 SECTION 11. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section **1601.11** of Title 60, unless
19 there is created a duplication in numbering, reads as follows:

20 A. In this section, "settlor" means a person that executes a
21 trust instrument. The term includes a person for which a fiduciary
22 or agent is acting.

23 B. A trustee of a trust has an insurable interest in the life
24 of an individual insured under a life insurance policy that is owned

1 by the trustee of the trust acting in a fiduciary capacity or that
2 designates the trust itself as the owner if, on the date the policy
3 is issued:

4 1. The insured is:

- 5 a. a settlor of the trust, or
- 6 b. an individual in whom a settlor of the trust has, or
7 would have had if living at the time the policy was
8 issued, an insurable interest; and

9 2. The life insurance proceeds are primarily for the benefit of
10 one or more trust beneficiaries that have:

- 11 a. an insurable interest in the life of the insured, or
- 12 b. a substantial interest engendered by love and
13 affection in the continuation of the life of the
14 insured and, if not already included under
15 subparagraph a of this paragraph, who are:

- 16 (1) related within the third degree or closer, as
17 measured by the civil law system of determining
18 degrees of relation, either by blood or law, to
19 the insured, or
- 20 (2) stepchildren of the insured.

21 The following table identifies the relatives of an insured
22 within three degrees of lineal and collateral consanguinity using
23 the civil law method, with each row representing a generation.

1				Great-
2				Grandparents
3				(3)
4			Grandparents	
5			(2)	
6		Parents	Aunts and Uncles	
7		(1)	(3)	
8	INSURED	Sisters and		
9		Brothers		
10		(2)		
11	Children	Nieces and		
12	(1)	Nephews		
13		(3)		
14	Grandchildren			
15	(2)			
16	Great-			
17	Grandchildren			
18	(3)			

ARTICLE 2

JUDICIAL PROCEEDINGS

SECTION 12. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section **1602.1** of Title 60, unless there is created a duplication in numbering, reads as follows:

1 A. The court may intervene in the administration or
2 construction of a trust to the extent its jurisdiction is invoked by
3 an interested person or as provided by law.

4 B. A trust is not subject to continuing judicial supervision
5 unless ordered by the court.

6 C. A judicial proceeding involving a trust may relate to any
7 matter involving the trust's administration or construction,
8 including a request for instructions and an action to declare
9 rights.

10 SECTION 13. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1602.2** of Title 60, unless there
12 is created a duplication in numbering, reads as follows:

13 A. By accepting the trusteeship of a trust having its principal
14 place of administration in this state or by moving the principal
15 place of administration to this state, the trustee submits
16 personally to the jurisdiction of the courts of this state regarding
17 any matter involving the trust.

18 B. With respect to their interests in the trust, the
19 beneficiaries of a trust having its principal place of
20 administration in this state are subject to the jurisdiction of the
21 courts of this state regarding any matter involving the trust. By
22 accepting a distribution from such a trust, the recipient submits
23 personally to the jurisdiction of the courts of this state regarding
24 any matter involving the trust.

1 C. This section does not preclude other methods of obtaining
2 jurisdiction over a trustee, beneficiary, or other person receiving
3 property from the trust.

4 SECTION 14. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1602.3** of Title 60, unless there
6 is created a duplication in numbering, reads as follows:

7 A. Except as otherwise provided in subsection B of this
8 section, venue for a judicial proceeding involving a trust is proper
9 in the county of this state in which the trust's principal place of
10 administration is or will be located and, if the trust is created by
11 will and the estate is not yet closed, in the county in which the
12 decedent's estate is being administered.

13 B. If a trust has no trustee, venue for a judicial proceeding
14 for the appointment of a trustee may be in a county of this state in
15 which a beneficiary resides, in a county in which any trust property
16 is located, and if the trust is created by will, in the county in
17 which the decedent's estate was or is being administered.

18 **ARTICLE 3**

19 **REPRESENTATION**

20 SECTION 15. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section **1603.1** of Title 60, unless there
22 is created a duplication in numbering, reads as follows:
23
24

1 A. Notice to a person who may represent and bind another person
2 under this article has the same effect as if notice were given
3 directly to the other person.

4 B. The consent of a person who may represent and bind another
5 person under this article is binding on the person represented
6 unless the person represented objects to the representation before
7 the consent would otherwise have become effective.

8 C. Except as otherwise provided in Section 29 of this act, a
9 person who under this article may represent a settlor who lacks
10 capacity may receive notice and give a binding consent on the
11 settlor's behalf.

12 D. A settlor may not represent and bind a beneficiary under
13 this article with respect to the termination or modification of a
14 trust under subsection A of Section 29 of this act.

15 SECTION 16. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section **1603.2** of Title 60, unless there
17 is created a duplication in numbering, reads as follows:

18 To the extent there is no conflict of interest between the
19 holder of a general testamentary power of appointment and the
20 persons represented with respect to the particular question or
21 dispute, the holder may represent and bind persons whose interests,
22 as permissible appointees, takers in default, or otherwise, are
23 subject to the power.

1 SECTION 17. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section **1603.3** of Title 60, unless there
3 is created a duplication in numbering, reads as follows:

4 To the extent there is no conflict of interest between the
5 representative and the person represented or among those being
6 represented with respect to a particular question or dispute:

7 1. A guardian of the property may represent and bind the estate
8 that the guardian controls;

9 2. A guardian of the person may represent and bind the ward if
10 a guardian of the property of the ward's estate has not been
11 appointed;

12 3. An agent having authority to act with respect to the
13 particular question or dispute may represent and bind the principal;

14 4. A trustee may represent and bind the beneficiaries of the
15 trust;

16 5. A personal representative of a decedent's estate may
17 represent and bind persons interested in the estate; and

18 6. A parent may represent and bind the parent's minor or unborn
19 child if a guardian of the property or guardian of the person for
20 the child has not been appointed.

21 SECTION 18. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section **1603.4** of Title 60, unless there
23 is created a duplication in numbering, reads as follows:

1 Unless otherwise represented, a minor, incapacitated, or unborn
2 individual, or a person whose identity or location is unknown and
3 not reasonably ascertainable, may be represented by and bound by
4 another having a substantially identical interest with respect to
5 the particular question or dispute, but only to the extent there is
6 no conflict of interest between the representative and the person
7 represented.

8 SECTION 19. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section **1603.5** of Title 60, unless there
10 is created a duplication in numbering, reads as follows:

11 A. If the court determines that an interest is not represented
12 under this act, or that the otherwise available representation might
13 be inadequate, the court may appoint a representative to receive
14 notice, give consent, and otherwise represent, bind, and act on
15 behalf of a minor, incapacitated, or unborn individual, or a person
16 whose identity or location is unknown, in the same manner as
17 appointment of a guardian ad litem. A representative may be
18 appointed to represent several persons or interests.

19 B. A representative may act on behalf of the individual
20 represented with respect to any matter arising under this act,
21 whether or not a judicial proceeding concerning the trust is
22 pending.

23 C. In making decisions, a representative may consider general
24 benefit accruing to the living members of the individual's family.

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CREATION, VALIDITY, MODIFICATION, AND TERMINATION OF TRUST

SECTION 20. NEW LAW A new section of law to be codified

A trust may be created by:

1. Transfer of property to another person as trustee during the

2. Declaration by the owner of property that the owner holds

3. Exercise of a power of appointment in favor of a trustee.

SECTION 21. NEW LAW A new section of law to be codified

A. A trust is created only if:

1. The settlor has capacity to create a trust;

2. The settlor indicates an intention to create the trust;

3. The trust has a definite beneficiary or is:

a. a charitable trust, or

b. a trust for a noncharitable purpose, as provided in

4. The trustee has duties to perform; and

1 5. The same person is not the sole trustee and sole
2 beneficiary.

3 B. A beneficiary is definite if the beneficiary can be
4 ascertained now or in the future.

5 C. A power in a trustee to select a beneficiary from an
6 indefinite class is valid. If the power is not exercised within a
7 reasonable time, the power fails and the property subject to the
8 power passes to the persons who would have taken the property had
9 the power not been conferred.

10 SECTION 22. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1604.3** of Title 60, unless there
12 is created a duplication in numbering, reads as follows:

13 A trust not created by will is validly created if its creation
14 complies with the law of the jurisdiction in which the trust
15 instrument was executed, or the law of the jurisdiction in which, at
16 the time of creation:

17 1. The settlor was domiciled, had a place of abode, or was a
18 national;

19 2. A trustee was domiciled or had a place of business; or

20 3. Any trust property was located.

21 SECTION 23. NEW LAW A new section of law to be codified
22 in the Oklahoma Statutes as Section **1604.4** of Title 60, unless there
23 is created a duplication in numbering, reads as follows:

1 A trust may be created only to the extent its purposes are
2 lawful, not contrary to public policy, and possible to achieve. A
3 trust and its terms must be for the benefit of its beneficiaries.

4 SECTION 24. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1604.5** of Title 60, unless there
6 is created a duplication in numbering, reads as follows:

7 A. A charitable trust may be created for the relief of poverty,
8 the advancement of education or religion, the promotion of health,
9 governmental or municipal purposes, or other purposes the
10 achievement of which is beneficial to the community.

11 B. If the terms of a charitable trust do not indicate a
12 particular charitable purpose or beneficiary, the court may select
13 one or more charitable purposes or beneficiaries. The selection
14 must be consistent with the settlor's intention to the extent it can
15 be ascertained.

16 C. The settlor of a charitable trust, among others, may
17 maintain a proceeding to enforce the trust.

18 SECTION 25. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section **1604.6** of Title 60, unless there
20 is created a duplication in numbering, reads as follows:

21 A trust is void to the extent its creation was induced by fraud,
22 duress, or undue influence.

1 SECTION 26. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section **1604.7** of Title 60, unless there
3 is created a duplication in numbering, reads as follows:

4 Except as required by a statute other than this act, a trust
5 need not be evidenced by a trust instrument, but the creation of an
6 oral trust and its terms may be established only by clear and
7 convincing evidence.

8 SECTION 27. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section **1604.8** of Title 60, unless there
10 is created a duplication in numbering, reads as follows:

11 Except as otherwise provided in this act or by another statute,
12 the following rules apply:

13 1. A trust may be created for a noncharitable purpose without a
14 definite or definitely ascertainable beneficiary or for a
15 noncharitable but otherwise valid purpose to be selected by the
16 trustee;

17 2. A trust authorized by this section may be enforced by a
18 person appointed in the terms of the trust or, if no person is so
19 appointed, by a person appointed by the court; and

20 3. Property of a trust authorized by this section may be
21 applied only to its intended use, except to the extent the court
22 determines that the value of the trust property exceeds the amount
23 required for the intended use. Except as otherwise provided in the
24 terms of the trust, property not required for the intended use must

1 be distributed to the settlor, if then living, otherwise to the
2 settlor's successors in interest.

3 SECTION 28. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1604.9** of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 A. In addition to the methods of termination prescribed by
7 Sections 29 through 32 of this act, a trust terminates to the extent
8 the trust is revoked or expires pursuant to its terms, no purpose of
9 the trust remains to be achieved, or the purposes of the trust have
10 become unlawful, contrary to public policy, or impossible to
11 achieve.

12 B. A proceeding to approve or disapprove a proposed
13 modification or termination under Sections 29 through 34 of this
14 act, or trust combination or division under Section 35 of this act,
15 may be commenced by a trustee or beneficiary, and a proceeding to
16 approve or disapprove a proposed modification or termination under
17 Section 29 of this act may be commenced by the settlor. The settlor
18 of a charitable trust may maintain a proceeding to modify the trust
19 under Section 31 of this act.

20 SECTION 29. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section **1604.10** of Title 60, unless
22 there is created a duplication in numbering, reads as follows:

23 A. If, upon petition, the court finds that the settlor and all
24 beneficiaries consent to the modification or termination of a

1 noncharitable irrevocable trust, the court shall approve the
2 modification or termination even if the modification or termination
3 is inconsistent with a material purpose of the trust. A settlor's
4 power to consent to a trust's modification or termination may be
5 exercised by an agent under a power of attorney only to the extent
6 expressly authorized by the power of attorney or the terms of the
7 trust; by the settlor's guardian of the property with the approval
8 of the court supervising the guardianship if an agent is not so
9 authorized; or by the settlor's guardian of the person with the
10 approval of the court supervising the guardianship if an agent is
11 not so authorized and a guardian of the property has not been
12 appointed. This subsection does not apply to irrevocable trusts
13 created before or to revocable trusts that become irrevocable before
14 the effective date of this act.

15 B. A noncharitable irrevocable trust may be terminated upon
16 consent of all of the beneficiaries if the court concludes that
17 continuance of the trust is not necessary to achieve any material
18 purpose of the trust. A noncharitable irrevocable trust may be
19 modified upon consent of all of the beneficiaries if the court
20 concludes that modification is not inconsistent with a material
21 purpose of the trust.

22 C. A spendthrift provision in the terms of the trust is not
23 presumed to constitute a material purpose of the trust.

24

1 D. Upon termination of a trust under subsection A or B of this
2 section, the trustee shall distribute the trust property as agreed
3 by the beneficiaries.

4 E. If not all of the beneficiaries consent to a proposed
5 modification or termination of the trust under subsection A or B of
6 this section, the modification or termination may be approved by the
7 court if the court is satisfied that:

8 1. If all of the beneficiaries had consented, the trust could
9 have been modified or terminated under this section; and

10 2. The interests of a beneficiary who does not consent will be
11 adequately protected.

12 SECTION 30. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section **1604.11** of Title 60, unless
14 there is created a duplication in numbering, reads as follows:

15 A. The court may modify the administrative or dispositive terms
16 of a trust or terminate the trust if, because of circumstances not
17 anticipated by the settlor, modification or termination will further
18 the purposes of the trust. To the extent practicable, the
19 modification must be made in accordance with the settlor's probable
20 intention.

21 B. The court may modify the administrative terms of a trust if
22 continuation of the trust on its existing terms would be
23 impracticable or wasteful or impair the trust's administration.
24

1 C. Upon termination of a trust under this section, the trustee
2 shall distribute the trust property in a manner consistent with the
3 purposes of the trust.

4 SECTION 31. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1604.12** of Title 60, unless
6 there is created a duplication in numbering, reads as follows:

7 A. Except as otherwise provided in subsection B of this
8 section, if a particular charitable purpose becomes unlawful,
9 impracticable, impossible to achieve, or wasteful:

10 1. The trust does not fail, in whole or in part;

11 2. The trust property does not revert to the settlor or the
12 settlor's successors in interest; and

13 3. The court may apply cy pres to modify or terminate the trust
14 by directing that the trust property be applied or distributed, in
15 whole or in part, in a manner consistent with the settlor's
16 charitable purposes.

17 B. A provision in the terms of a charitable trust that would
18 result in distribution of the trust property to a noncharitable
19 beneficiary prevails over the power of the court under subsection A
20 of this section to apply cy pres to modify or terminate the trust
21 only if, when the provision takes effect, the trust property is to
22 revert to the settlor and the settlor is still living.

1 SECTION 32. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section **1604.13** of Title 60, unless
3 there is created a duplication in numbering, reads as follows:

4 A. After notice to the qualified beneficiaries, the trustee of
5 a trust consisting of trust property having a total value less than
6 Fifty Thousand Dollars (\$50,000.00) may terminate the trust if the
7 trustee concludes that the value of the trust property is
8 insufficient to justify the cost of administration.

9 B. The court may modify or terminate a trust or remove the
10 trustee and appoint a different trustee if it determines that the
11 value of the trust property is insufficient to justify the cost of
12 administration.

13 C. Upon termination of a trust under this section, the trustee
14 shall distribute the trust property in a manner consistent with the
15 purposes of the trust.

16 D. This section does not apply to an easement for conservation
17 or preservation.

18 SECTION 33. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section **1604.14** of Title 60, unless
20 there is created a duplication in numbering, reads as follows:

21 The court may reform the terms of a trust, even if unambiguous,
22 to conform the terms to the settlor's intention if it is proved by
23 clear and convincing evidence what the settlor's intention was and
24

1 that the terms of the trust were affected by a mistake of fact or
2 law, whether in expression or inducement.

3 SECTION 34. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1604.15** of Title 60, unless
5 there is created a duplication in numbering, reads as follows:

6 To achieve the settlor's tax objectives, the court may modify
7 the terms of a trust in a manner that is not contrary to the
8 settlor's probable intention. The court may provide that the
9 modification has retroactive effect.

10 SECTION 35. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1604.16** of Title 60, unless
12 there is created a duplication in numbering, reads as follows:

13 After notice to the qualified beneficiaries, a trustee may
14 combine two or more trusts into a single trust or divide a trust
15 into two or more separate trusts, if the result does not impair the
16 rights of any beneficiary or adversely affect achievement of the
17 purposes of the trust.

18 ARTICLE 5

19 CREDITOR'S CLAIM AGAINST SETTLOR

20 SECTION 36. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section **1605.1** of Title 60, unless there
22 is created a duplication in numbering, reads as follows:

23 A. Whether or not the terms of a trust contain a spendthrift
24 provision, the following rules apply:

1 1. Except as provided by the laws of this state, during the
2 lifetime of the settlor, the property of a revocable trust is
3 subject to claims of the settlor's creditors; and

4 2. Except as provided by the laws of this state, after the
5 death of a settlor, and subject to the settlor's right to direct the
6 source from which liabilities will be paid, the property of a trust
7 that was revocable at the settlor's death is subject to claims of
8 the settlor's creditors, costs of administration of the settlor's
9 estate, the expenses of the settlor's funeral and disposal of
10 remains, and statutory allowances to a surviving spouse and children
11 to the extent the settlor's probate estate is inadequate to satisfy
12 those claims, costs, expenses, and allowances.

13 B. For purposes of this section:

14 1. During the period the power may be exercised, the holder of
15 a power of withdrawal is treated in the same manner as the settlor
16 of a revocable trust to the extent of the property subject to the
17 power; and

18 2. Upon the lapse, release, or waiver of the power, the holder
19 is treated as the settlor of the trust only to the extent the value
20 of the property affected by the lapse, release, or waiver exceeds
21 the greater of the amount specified in Section 2041(b)(2) or 2514(e)
22 of the Internal Revenue Code of 1986, or Section 2503(b) of the
23 Internal Revenue Code of 1986, in each case as in effect on the
24 effective date of this act, or as later amended.

1 **ARTICLE 6**

2 **REVOCABLE TRUSTS**

3 SECTION 37. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1606.1** of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 The capacity required to create, amend, revoke, or add property
7 to a revocable trust, or to direct the actions of the trustee of a
8 revocable trust, is the same as that required to make a will.

9 SECTION 38. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section **1606.2** of Title 60, unless there
11 is created a duplication in numbering, reads as follows:

12 A. To the extent a trust is revocable by a settlor, a trustee
13 may follow a direction of the settlor that is contrary to the terms
14 of the trust. To the extent a trust is revocable by a settlor in
15 conjunction with a person other than a trustee or person holding an
16 adverse interest, the trustee may follow a direction from the
17 settlor and the other person holding the power to revoke even if the
18 direction is contrary to the terms of the trust.

19 B. To the extent a trust is revocable and the settlor has
20 capacity to revoke the trust, rights of the beneficiaries are
21 subject to the control of, and the duties of the trustee are owed
22 exclusively to, the settlor.

23 C. During the period the power may be exercised, the holder of
24 a power of withdrawal has the rights of a settlor of a revocable

1 trust under this section to the extent of the property subject to
2 the power.

3 SECTION 39. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1606.3** of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 A. A person may commence a judicial proceeding to contest the
7 validity of a trust that was revocable at the settlor's death within
8 three (3) years after the later of either the settlor's death or
9 actual or constructive notice of the existence and terms of the
10 trust.

11 B. Upon the death of the settlor of a trust that was revocable
12 at the settlor's death, the trustee may proceed to distribute the
13 trust property in accordance with the terms of the trust. The
14 trustee is not subject to liability for doing so unless:

15 1. The trustee knows of a pending judicial proceeding
16 contesting the validity of the trust;

17 2. The trustee knows of claims, costs, expenses, or allowances
18 that would be payable from the trust pursuant to paragraph 2 of
19 subsection A of Section 36 of this act; or

20 3. A potential contestant has notified the trustee of a
21 possible judicial proceeding to contest the trust and a judicial
22 proceeding is commenced within sixty (60) days after the contestant
23 sent the notification.
24

1 C. A beneficiary of a trust that is determined to have been
2 invalid or which is subject to claims, costs, expenses, or
3 allowances under paragraph 2 of subsection B of this section is
4 liable to return any distribution received.

5 ARTICLE 7

6 OFFICE OF TRUSTEE

7 SECTION 40. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section **1607.1** of Title 60, unless there
9 is created a duplication in numbering, reads as follows:

10 A. Except as otherwise provided in subsection C of this
11 section, a person designated as trustee accepts the trusteeship:

12 1. By substantially complying with a method of acceptance
13 provided in the terms of the trust; or

14 2. If the terms of the trust do not provide a method or the
15 method provided in the terms is not expressly made exclusive, by
16 accepting delivery of the trust property, exercising powers or
17 performing duties as trustee, or otherwise indicating acceptance of
18 the trusteeship.

19 B. A person designated as trustee who has not yet accepted the
20 trusteeship may reject the trusteeship. A designated trustee who
21 does not accept the trusteeship within a reasonable time after
22 knowing of the designation is deemed to have rejected the
23 trusteeship.

1 C. A person designated as trustee, without accepting the
2 trusteeship, may:

3 1. Act to preserve the trust property if, within a reasonable
4 time after acting, the person sends a rejection of the trusteeship
5 to the settlor or, if the settlor is dead or lacks capacity, to a
6 qualified beneficiary; and

7 2. Inspect or investigate trust property to determine potential
8 liability under environmental or other law or for any other purpose.

9 SECTION 41. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section **1607.2** of Title 60, unless there
11 is created a duplication in numbering, reads as follows:

12 A. A trustee shall give bond to secure performance of the
13 trustee's duties only if the court finds that a bond is needed to
14 protect the interests of the beneficiaries or is required by the
15 terms of the trust and the court has not dispensed with the
16 requirement.

17 B. The court may specify the amount of a bond, its liabilities,
18 and whether sureties are necessary. The court may modify or
19 terminate a bond at any time.

20 C. A regulated financial service institution qualified to do
21 trust business in this state need not give bond, even if required by
22 the terms of the trust.
23
24

1 SECTION 42. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section **1607.3** of Title 60, unless there
3 is created a duplication in numbering, reads as follows:

4 A. Co-trustees who are unable to reach a unanimous decision may
5 act by majority decision.

6 B. If a vacancy occurs in a co-trusteeship, the remaining co-
7 trustees may act for the trust.

8 C. Subject to Section 1212 of Title 60 of the Oklahoma
9 Statutes, a co-trustee must participate in the performance of a
10 trustee's function unless the co-trustee is unavailable to perform
11 the function because of absence, illness, disqualification under
12 other law, or other temporary incapacity or the co-trustee has
13 properly delegated the performance of the function to another
14 trustee.

15 D. If a co-trustee is unavailable to perform duties because of
16 absence, illness, disqualification under other law, or other
17 temporary incapacity, and prompt action is necessary to achieve the
18 purposes of the trust or to avoid injury to the trust property, the
19 remaining co-trustee or a majority of the remaining co-trustees may
20 act for the trust.

21 E. A trustee may not delegate to a co-trustee the performance
22 of a function the settlor reasonably expected the trustees to
23 perform jointly. Unless a delegation was irrevocable, a trustee may
24 revoke a delegation previously made.

1 F. Except as otherwise provided in subsection G of this
2 section, a trustee who does not join in an action of another trustee
3 is not liable for the action.

4 G. Subject to Section 1212 of Title 60 of the Oklahoma
5 Statutes, each trustee shall exercise reasonable care to:

6 1. Prevent a co-trustee from committing a serious breach of
7 trust; and

8 2. Compel a co-trustee to redress a serious breach of trust.

9 H. A dissenting trustee who joins in an action at the direction
10 of the majority of the trustees and who notified any co-trustee of
11 the dissent at or before the time of the action is not liable for
12 the action unless the action is a serious breach of trust.

13 SECTION 43. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section **1607.4** of Title 60, unless there
15 is created a duplication in numbering, reads as follows:

16 A. A vacancy in a trusteeship occurs if:

17 1. A person designated as trustee rejects the trusteeship;

18 2. A person designated as trustee cannot be identified or does
19 not exist;

20 3. A trustee resigns;

21 4. A trustee is disqualified or removed;

22 5. A trustee dies; or

23 6. A guardian is appointed for an individual serving as
24 trustee.

1 B. If one or more co-trustees remain in office, a vacancy in a
2 trusteeship need not be filled. A vacancy in a trusteeship must be
3 filled if the trust has no remaining trustee.

4 C. A vacancy in a trusteeship of a noncharitable trust that is
5 required to be filled must be filled in the following order of
6 priority:

7 1. By a person designated in the terms of the trust to act as
8 successor trustee;

9 2. By a person appointed by unanimous agreement of the
10 qualified beneficiaries; or

11 3. By a person appointed by the court.

12 D. A vacancy in a trusteeship of a charitable trust that is
13 required to be filled must be filled in the following order of
14 priority:

15 1. By a person designated in the terms of the trust to act as
16 successor trustee;

17 2. By a person selected by the charitable organizations
18 expressly designated to receive distributions under the terms of the
19 trust if the Office of the Attorney General concurs in the
20 selection; or

21 3. By a person appointed by the court.

22 E. Whether or not a vacancy in a trusteeship exists or is
23 required to be filled, the court may appoint an additional trustee
24

1 or special fiduciary whenever the court considers the appointment
2 necessary for the administration of the trust.

3 SECTION 44. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1607.5** of Title 60, unless there
5 is created a duplication in numbering, reads as follows:

6 A. A trustee may resign:

7 1. Upon at least thirty (30) days' notice to the qualified
8 beneficiaries, the settlor, if living, and all co-trustees; or

9 2. With the approval of the court.

10 B. In approving a resignation, the court may issue orders and
11 impose conditions reasonably necessary for the protection of the
12 trust property.

13 C. Any liability of a resigning trustee or of any sureties on
14 the trustee's bond for acts or omissions of the trustee is not
15 discharged or affected by the trustee's resignation, but may be
16 discharged by court order upon notice to the qualified
17 beneficiaries, the settlor, if living, and all co-trustees.

18 SECTION 45. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section **1607.6** of Title 60, unless there
20 is created a duplication in numbering, reads as follows:

21 A. The settlor, a co-trustee, or a beneficiary may request the
22 court to remove a trustee, or a trustee may be removed by the court
23 on its own initiative.

24 B. The court may remove a trustee if:

1 1. The trustee has committed a serious breach of trust;

2 2. Lack of cooperation among co-trustees substantially impairs
3 the administration of the trust;

4 3. Due to unfitness, unwillingness, or persistent failure of
5 the trustee to administer the trust effectively, the court
6 determines that removal of the trustee best serves the interests of
7 the beneficiaries; or

8 4. There has been a substantial change of circumstances or
9 removal is requested by all of the qualified beneficiaries, the
10 court finds that removal of the trustee best serves the interests of
11 all of the beneficiaries and is not inconsistent with a material
12 purpose of the trust, and a suitable co-trustee or successor trustee
13 is available.

14 C. Pending a final decision on a request to remove a trustee,
15 or in lieu of or in addition to removing a trustee, the court may
16 order such appropriate relief under subsection B of Section 175.57
17 of Title 60 of the Oklahoma Statutes as may be necessary to protect
18 the trust property or the interests of the beneficiaries.

19 SECTION 46. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section **1607.7** of Title 60, unless there
21 is created a duplication in numbering, reads as follows:

22 A. Unless a co-trustee remains in office or the court otherwise
23 orders, and until the trust property is delivered to a successor
24 trustee or other person entitled to it, a trustee who has resigned

1 or been removed has the duties of a trustee and the powers necessary
2 to protect the trust property.

3 B. A trustee who has resigned or been removed shall proceed
4 expeditiously to deliver the trust property within the trustee's
5 possession to the co-trustee, successor trustee, or other person
6 entitled to it.

7 SECTION 47. NEW LAW A new section of law to be codified
8 in the Oklahoma Statutes as Section **1607.8** of Title 60, unless there
9 is created a duplication in numbering, reads as follows:

10 A. If the terms of a trust do not specify the trustee's
11 compensation, a trustee is entitled to compensation that is
12 reasonable under the circumstances.

13 B. If the terms of a trust specify the trustee's compensation,
14 the trustee is entitled to be compensated as specified, but the
15 court may allow more or less compensation if:

16 1. The duties of the trustee are substantially different from
17 those contemplated when the trust was created; or

18 2. The compensation specified by the terms of the trust would
19 be unreasonably low or high.

20 SECTION 48. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section **1607.9** of Title 60, unless there
22 is created a duplication in numbering, reads as follows:

23 A. A trustee is entitled to be reimbursed out of the trust
24 property, with interest as appropriate, for:

1 60 of the Oklahoma Statutes, a sale, encumbrance, or other
2 transaction involving the investment or management of trust property
3 entered into by the trustee for the trustee's own personal account
4 or which is otherwise affected by a conflict between the trustee's
5 fiduciary and personal interests is voidable by a beneficiary
6 affected by the transaction unless:

7 1. The transaction was authorized by the terms of the trust;

8 2. The transaction was approved by the court;

9 3. The beneficiary did not commence a judicial proceeding
10 within the time allowed by subsection E of Section 175.57 of Title
11 60 of the Oklahoma Statutes;

12 4. The beneficiary consented to the trustee's conduct, ratified
13 the transaction, or released the trustee in compliance with
14 subsection G of Section 175.57 of Title 60 of the Oklahoma Statutes;
15 or

16 5. The transaction involves a contract entered into or claim
17 acquired by the trustee before the person became or contemplated
18 becoming trustee.

19 C. A sale, encumbrance, or other transaction involving the
20 investment or management of trust property is presumed to be
21 affected by a conflict between personal and fiduciary interests if
22 it is entered into by the trustee with:

23 1. The trustee's spouse;

24

1 2. The trustee's descendants, siblings, parents, or their
2 spouses;

3 3. An agent or attorney of the trustee; or

4 4. A corporation or other person or enterprise in which the
5 trustee, or a person that owns a significant interest in the
6 trustee, has an interest that might affect the trustee's best
7 judgment.

8 D. A transaction between a trustee and a beneficiary that does
9 not concern trust property but that occurs during the existence of
10 the trust or while the trustee retains significant influence over
11 the beneficiary and from which the trustee obtains an advantage is
12 voidable by the beneficiary unless the trustee establishes that the
13 transaction was fair to the beneficiary.

14 E. A transaction not concerning trust property in which the
15 trustee engages in the trustee's individual capacity involves a
16 conflict between personal and fiduciary interests if the transaction
17 concerns an opportunity properly belonging to the trust.

18 F. An investment by a trustee in securities of an investment
19 company or investment trust to which the trustee, or its affiliate,
20 provides services in a capacity other than as trustee is not
21 presumed to be affected by a conflict between personal and fiduciary
22 interests if the investment otherwise complies with the prudent
23 investor rule of the Oklahoma Uniform Prudent Investor Act. In
24 addition to its compensation for acting as trustee, the trustee may

1 be compensated by the investment company or investment trust for
2 providing those services out of fees charged to the trust. If the
3 trustee receives compensation from the investment company or
4 investment trust for providing investment advisory or investment
5 management services, the trustee must at least annually notify the
6 persons entitled under Section 60 of this act to receive a copy of
7 the trustee's annual report of the rate and method by which that
8 compensation was determined.

9 G. In voting shares of stock or in exercising powers of control
10 over similar interests in other forms of enterprise, the trustee
11 shall act in the best interests of the beneficiaries. If the trust
12 is the sole owner of a corporation or other form of enterprise, the
13 trustee shall elect or appoint directors or other managers who will
14 manage the corporation or enterprise in the best interests of the
15 beneficiaries.

16 H. This section does not preclude the following transactions,
17 if fair to the beneficiaries:

18 1. An agreement between a trustee and a beneficiary relating to
19 the appointment or compensation of the trustee;

20 2. Payment of reasonable compensation to the trustee;

21 3. A transaction between a trust and another trust, decedent's
22 estate, or conservatorship of which the trustee is a fiduciary or in
23 which a beneficiary has an interest;

24

1 4. A deposit of trust money in a regulated financial-service
2 institution operated by the trustee; or

3 5. An advance by the trustee of money for the protection of the
4 trust.

5 I. The court may appoint a special fiduciary to make a decision
6 with respect to any proposed transaction that might violate this
7 section if entered into by the trustee.

8 SECTION 51. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section **1608.3** of Title 60, unless there
10 is created a duplication in numbering, reads as follows:

11 If a trust has two or more beneficiaries, the trustee shall act
12 impartially in investing, managing, and distributing the trust
13 property, giving due regard to the beneficiaries' respective
14 interests.

15 SECTION 52. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section **1608.4** of Title 60, unless there
17 is created a duplication in numbering, reads as follows:

18 A trustee shall administer the trust as a prudent person would,
19 by considering the purposes, terms, distributional requirements, and
20 other circumstances of the trust. In satisfying this standard, the
21 trustee shall exercise reasonable care, skill, and caution.

22 SECTION 53. NEW LAW A new section of law to be codified
23 in the Oklahoma Statutes as Section **1608.5** of Title 60, unless there
24 is created a duplication in numbering, reads as follows:

1 In administering a trust, the trustee may incur only costs that
2 are reasonable in relation to the trust property, the purposes of
3 the trust, and the skills of the trustee.

4 SECTION 54. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1608.6** of Title 60, unless there
6 is created a duplication in numbering, reads as follows:

7 A trustee who has special skills or expertise, or is named
8 trustee in reliance upon the trustee's representation that the
9 trustee has special skills or expertise, shall use those special
10 skills or expertise.

11 SECTION 55. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section **1608.7** of Title 60, unless there
13 is created a duplication in numbering, reads as follows:

14 A. A trustee may delegate duties and powers that a prudent
15 trustee of comparable skills could properly delegate under the
16 circumstances. The trustee shall exercise reasonable care, skill,
17 and caution in:

18 1. Selecting an agent;

19 2. Establishing the scope and terms of the delegation,
20 consistent with the purposes and terms of the trust; and

21 3. Periodically reviewing the agent's actions in order to
22 monitor the agent's performance and compliance with the terms of the
23 delegation.

24

1 B. In performing a delegated function, an agent owes a duty to
2 the trust to exercise reasonable care to comply with the terms of
3 the delegation.

4 C. A trustee who complies with subsection A of this section is
5 not liable to the beneficiaries or to the trust for an action of the
6 agent to whom the function was delegated.

7 D. By accepting a delegation of powers or duties from the
8 trustee of a trust that is subject to the law of this state, an
9 agent submits to the jurisdiction of the courts of this state.

10 SECTION 56. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1608.8** of Title 60, unless there
12 is created a duplication in numbering, reads as follows:

13 A trustee shall take reasonable steps to take control of and
14 protect the trust property.

15 SECTION 57. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section **1608.9** of Title 60, unless there
17 is created a duplication in numbering, reads as follows:

18 A. A trustee shall keep adequate records of the administration
19 of the trust.

20 B. A trustee shall keep trust property separate from the
21 trustee's own property.

22 C. Except as otherwise provided in subsection D of this
23 section, a trustee shall cause the trust property to be designated
24 so that the interest of the trust, to the extent feasible, appears

1 in records maintained by a party other than a trustee or
2 beneficiary.

3 D. If the trustee maintains records clearly indicating the
4 respective interests, a trustee may invest as a whole the property
5 of two or more separate trusts.

6 SECTION 58. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section **1608.10** of Title 60, unless
8 there is created a duplication in numbering, reads as follows:

9 A trustee shall take reasonable steps to enforce claims of the
10 trust and to defend claims against the trust.

11 SECTION 59. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section **1608.11** of Title 60, unless
13 there is created a duplication in numbering, reads as follows:

14 A trustee shall take reasonable steps to compel a former trustee
15 or other person to deliver trust property to the trustee, and to
16 take reasonable steps to redress a breach of trust known to the
17 trustee to have been committed by a former trustee.

18 SECTION 60. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section **1608.12** of Title 60, unless
20 there is created a duplication in numbering, reads as follows:

21 A. A trustee shall keep the qualified beneficiaries of the
22 trust reasonably informed about the administration of the trust and
23 of the material facts necessary for them to protect their interests.
24 Unless unreasonable under the circumstances, a trustee shall

1 promptly respond to a beneficiary's request for information related
2 to the administration of the trust.

3 B. A trustee:

4 1. Upon request of a qualified beneficiary, shall promptly
5 furnish to the qualified beneficiary a copy of the trust instrument;

6 2. Within sixty (60) days after accepting a trusteeship, shall
7 notify the qualified beneficiaries of the acceptance and of the
8 trustee's name, address, and telephone number;

9 3. Within sixty (60) days after the date the trustee acquires
10 knowledge of the creation of an irrevocable trust, or the date the
11 trustee acquires knowledge that a formerly revocable trust has
12 become irrevocable, whether by the death of the settlor or
13 otherwise, shall notify the qualified beneficiaries of the trust's
14 existence, of the identity of the settlor or settlors, of the right
15 to request a copy of the trust instrument, and of the right to a
16 trustee's report as provided in subsection C of this section; and

17 4. Shall notify the qualified beneficiaries in advance of any
18 change in the method or rate of the trustee's compensation.

19 C. A trustee shall send to the distributees or permissible
20 distributees of trust income or principal, and to other qualified
21 beneficiaries who request it, at least annually and at the
22 termination of the trust, a report of the trust property,
23 liabilities, receipts, and disbursements, including the source and
24 amount of the trustee's compensation, a listing of the trust assets

1 and, if feasible, their respective market values. Upon a vacancy in
2 a trusteeship, unless a co-trustee remains in office, a report must
3 be sent to the qualified beneficiaries by the former trustee. A
4 personal representative or guardian may send the qualified
5 beneficiaries a report on behalf of a deceased or incapacitated
6 trustee.

7 D. A beneficiary may waive the right to a trustee's report or
8 other information otherwise required to be furnished under this
9 section. A beneficiary, with respect to future reports and other
10 information, may withdraw a waiver previously given.

11 E. Paragraphs 2 and 3 of subsection B of this section do not
12 apply to a trustee who accepts a trusteeship before the effective
13 date of this act, to an irrevocable trust created before the
14 effective date of this act, or to a revocable trust that becomes
15 irrevocable before the effective date of this act.

16 SECTION 61. NEW LAW A new section of law to be codified
17 in the Oklahoma Statutes as Section **1608.13** of Title 60, unless
18 there is created a duplication in numbering, reads as follows:

19 A. Notwithstanding the breadth of discretion granted to a
20 trustee in the terms of the trust, including the use of such terms
21 as "absolute", "sole", or "uncontrolled", the trustee shall exercise
22 a discretionary power in good faith and in accordance with the terms
23 and purposes of the trust and the interests of the beneficiaries.

1 B. Subject to subsection D of this section, and unless the
2 terms of the trust expressly indicate that a rule in this subsection
3 does not apply:

4 1. A person other than a settlor who is a beneficiary and
5 trustee of a trust that confers on the trustee a power to make
6 discretionary distributions to or for the trustee's personal benefit
7 may exercise the power only in accordance with an ascertainable
8 standard; and

9 2. A trustee may not exercise a power to make discretionary
10 distributions to satisfy a legal obligation of support that the
11 trustee personally owes another person.

12 C. A power whose exercise is limited or prohibited by
13 subsection B of this section may be exercised by a majority of the
14 remaining trustees whose exercise of the power is not so limited or
15 prohibited. If the power of all trustees is so limited or
16 prohibited, the court may appoint a special fiduciary with authority
17 to exercise the power.

18 D. Subsection B of this section does not apply to:

19 1. A power held by the settlor's spouse who is the trustee of a
20 trust for which a marital deduction, as defined in Section
21 2056(b) (5) or 2523(e) of the Internal Revenue Code of 1986, as in
22 effect on the effective date of this act, or as later amended, was
23 previously allowed;

1 2. Any trust during any period that the trust may be revoked or
2 amended by its settlor; or

3 3. A trust if contributions to the trust qualify for the annual
4 exclusion under Section 2503(c) of the Internal Revenue Code of
5 1986, as in effect on the effective date of this act, or as later
6 amended.

7 **E. If a distribution to a beneficiary is subject to the**
8 **exercise of the trustee's discretion, whether or not the terms of a**
9 **trust include a standard to guide the trustee in making**
10 **distributions, then the interest is neither a property interest nor**
11 **an enforceable right, but a mere expectancy.**

12 SECTION 62. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section **1608.14** of Title 60, unless
14 there is created a duplication in numbering, reads as follows:

15 A. A trustee, without authorization by the court, may exercise:

16 1. Powers conferred by the terms of the trust; and

17 2. Except as limited by the terms of the trust:

18 a. all powers over the trust property which an unmarried
19 competent owner has over individually owned property,

20 b. any other powers appropriate to achieve the proper
21 investment, management, and distribution of the trust
22 property, and

23 c. any other powers conferred by this act.
24

1 B. The exercise of a power is subject to the fiduciary duties
2 prescribed by this article.

3 SECTION 63. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section **1608.15** of Title 60, unless
5 there is created a duplication in numbering, reads as follows:

6 Without limiting the authority conferred by Section 62 of this
7 act, a trustee may:

8 1. Collect trust property and accept or reject additions to the
9 trust property from a settlor or any other person;

10 2. Acquire or sell property, for cash or on credit, at public
11 or private sale;

12 3. Exchange, partition, or otherwise change the character of
13 trust property;

14 4. Deposit trust money in an account in a regulated financial-
15 service institution;

16 5. Borrow money, with or without security, and mortgage or
17 pledge trust property for a period within or extending beyond the
18 duration of the trust;

19 6. With respect to an interest in a proprietorship,
20 partnership, limited liability company, business trust, corporation,
21 or other form of business or enterprise, continue the business or
22 other enterprise and take any action that may be taken by
23 shareholders, members, or property owners, including merging,
24

1 dissolving, or otherwise changing the form of business organization
2 or contributing additional capital;

3 7. With respect to stocks or other securities, exercise the
4 rights of an absolute owner, including the right to:

5 a. vote, or give proxies to vote, with or without power
6 of substitution, or enter into or continue a voting
7 trust agreement,

8 b. hold a security in the name of a nominee or in other
9 form without disclosure of the trust so that title may
10 pass by delivery,

11 c. pay calls, assessments, and other sums chargeable or
12 accruing against the securities, and sell or exercise
13 stock subscription or conversion rights, and

14 d. deposit the securities with a depository or other
15 regulated financial-service institution;

16 8. With respect to an interest in real property, construct, or
17 make ordinary or extraordinary repairs to, alterations to, or
18 improvements in, buildings or other structures, demolish
19 improvements, raze existing or erect new party walls or buildings,
20 subdivide or develop land, dedicate land to public use or grant
21 public or private easements, and make or vacate plats and adjust
22 boundaries;

23 9. Enter into a lease for any purpose as lessor or lessee,
24 including a lease or other arrangement for exploration and removal

1 of natural resources, with or without the option to purchase or
2 renew, for a period within or extending beyond the duration of the
3 trust;

4 10. Grant an option involving a sale, lease, or other
5 disposition of trust property or acquire an option for the
6 acquisition of property, including an option exercisable beyond the
7 duration of the trust, and exercise an option so acquired;

8 11. Insure the property of the trust against damage or loss and
9 insure the trustee, the trustee's agents, and beneficiaries against
10 liability arising from the administration of the trust;

11 12. Abandon or decline to administer property of no value or of
12 insufficient value to justify its collection or continued
13 administration;

14 13. With respect to possible liability for violation of
15 environmental law:

16 a. inspect or investigate property the trustee holds or
17 has been asked to hold, or property owned or operated
18 by an organization in which the trustee holds or has
19 been asked to hold an interest, for the purpose of
20 determining the application of environmental law with
21 respect to the property,

22 b. take action to prevent, abate, or otherwise remedy any
23 actual or potential violation of any environmental law
24 affecting property held directly or indirectly by the

1 trustee, whether taken before or after the assertion
2 of a claim or the initiation of governmental
3 enforcement,

4 c. decline to accept property into trust or disclaim any
5 power with respect to property that is or may be
6 burdened with liability for violation of environmental
7 law,

8 d. compromise claims against the trust which may be
9 asserted for an alleged violation of environmental
10 law, and

11 e. pay the expense of any inspection, review, abatement,
12 or remedial action to comply with environmental law;

13 14. Pay or contest any claim, settle a claim by or against the
14 trust, and release, in whole or in part, a claim belonging to the
15 trust;

16 15. Pay taxes, assessments, compensation of the trustee and of
17 employees and agents of the trust, and other expenses incurred in
18 the administration of the trust;

19 16. Exercise elections with respect to federal, state, and
20 local taxes;

21 17. Select a mode of payment under any employee benefit or
22 retirement plan, annuity, or life insurance payable to the trustee,
23 exercise rights thereunder, including exercise of the right to
24

1 indemnification for expenses and against liabilities, and take
2 appropriate action to collect the proceeds;

3 18. Make loans out of trust property, including loans to a
4 beneficiary on terms and conditions the trustee considers to be fair
5 and reasonable under the circumstances, and the trustee has a lien
6 on future distributions for repayment of those loans;

7 19. Pledge trust property to guarantee loans made by others to
8 the beneficiary;

9 20. Appoint a trustee to act in another jurisdiction with
10 respect to trust property located in the other jurisdiction, confer
11 upon the appointed trustee all of the powers and duties of the
12 appointing trustee, require that the appointed trustee furnish
13 security, and remove any trustee so appointed;

14 21. Pay an amount distributable to a beneficiary who is under a
15 legal disability or who the trustee reasonably believes is
16 incapacitated, by paying it directly to the beneficiary or applying
17 it for the beneficiary's benefit, or by:

18 a. paying it to the beneficiary's guardian of the
19 property or, if the beneficiary does not have a
20 guardian of the property, the beneficiary's guardian
21 of the person,

22 b. paying it to the beneficiary's custodian under the
23 Oklahoma Uniform Transfers to Minors Act, and, for
24 that purpose, creating a custodianship,

- 1 c. if the trustee does not know of a guardian of the
2 property, guardian of the person, or custodian, paying
3 it to an adult relative or other person having legal
4 or physical care or custody of the beneficiary, to be
5 expended on the beneficiary's behalf, or
6 d. managing it as a separate fund on the beneficiary's
7 behalf, subject to the beneficiary's continuing right
8 to withdraw the distribution;

9 22. On distribution of trust property or the division or
10 termination of a trust, make distributions in divided or undivided
11 interests, allocate particular assets in proportionate or
12 disproportionate shares, value the trust property for those
13 purposes, and adjust for resulting differences in valuation;

14 23. Resolve a dispute concerning the interpretation of the
15 trust or its administration by mediation, arbitration, or other
16 procedure for alternative dispute resolution;

17 24. Prosecute or defend an action, claim, or judicial
18 proceeding in any jurisdiction to protect trust property and the
19 trustee in the performance of the trustee's duties;

20 25. Sign and deliver contracts and other instruments that are
21 useful to achieve or facilitate the exercise of the trustee's
22 powers; and
23
24

1 26. On termination of the trust, exercise the powers
2 appropriate to wind up the administration of the trust and
3 distribute the trust property to the persons entitled to it.

4 SECTION 64. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1608.16** of Title 60, unless
6 there is created a duplication in numbering, reads as follows:

7 A. Upon termination or partial termination of a trust, the
8 trustee may send to the beneficiaries a proposal for distribution.
9 The right of any beneficiary to object to the proposed distribution
10 terminates if the beneficiary does not notify the trustee of an
11 objection within thirty (30) days after the proposal was sent but
12 only if the proposal informed the beneficiary of the right to object
13 and of the time allowed for objection.

14 B. Upon the occurrence of an event terminating or partially
15 terminating a trust, the trustee shall proceed reasonably to
16 distribute the trust property to the persons entitled to it, subject
17 to the right of the trustee to retain a reasonable reserve for the
18 payment of debts, expenses, and taxes.

19 C. A release by a beneficiary of a trustee from liability for
20 breach of trust is invalid to the extent:

21 1. It was induced by improper conduct of the trustee; or

22 2. The beneficiary, at the time of the release, did not know of
23 the beneficiary's rights or of the material facts relating to the
24 breach.

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LIABILITY OF TRUSTEES AND RIGHTS OF PERSONS DEALING WITH TRUSTEE

SECTION 65. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section **1610.1** of Title 60, unless there is created a duplication in numbering, reads as follows:

Except as otherwise provided in subsections A and B of Section 175.57 of Title 60 of the Oklahoma Statutes, if more than one trustee is liable to the beneficiaries for a breach of trust, a trustee is entitled to contribution from the other trustee or trustees. A trustee is not entitled to contribution if the trustee was substantially more at fault than another trustee or if the trustee committed the breach of trust in bad faith or with reckless indifference to the purposes of the trust or the interests of the beneficiaries. A trustee who received a benefit from the breach of trust is not entitled to contribution from another trustee to the extent of the benefit received.

SECTION 66. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section **1610.2** of Title 60, unless there is created a duplication in numbering, reads as follows:

A. A trustee is accountable to an affected beneficiary for any profit made by the trustee arising from the administration of the trust, even absent a breach of trust.

1 B. Absent a breach of trust, a trustee is not liable to a
2 beneficiary for a loss or depreciation in the value of trust
3 property or for not having made a profit.

4 SECTION 67. NEW LAW A new section of law to be codified
5 in the Oklahoma Statutes as Section **1610.3** of Title 60, unless there
6 is created a duplication in numbering, reads as follows:

7 A trustee who acts in reasonable reliance on the terms of the
8 trust as expressed in the trust instrument is not liable to a
9 beneficiary for a breach of trust to the extent the breach resulted
10 from the reliance.

11 SECTION 68. NEW LAW A new section of law to be codified
12 in the Oklahoma Statutes as Section **1610.4** of Title 60, unless there
13 is created a duplication in numbering, reads as follows:

14 If the happening of an event, including marriage, divorce,
15 performance of educational requirements, or death, affects the
16 administration or distribution of a trust, a trustee who has
17 exercised reasonable care to ascertain the happening of the event is
18 not liable for a loss resulting from the trustee's lack of
19 knowledge.

20 SECTION 69. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section **1610.5** of Title 60, unless there
22 is created a duplication in numbering, reads as follows:

1 A. The limitations on personal liability of a trustee as set
2 forth in subsection H of Section 175.57 of Title 60 of the Oklahoma
3 Statutes and in subsection H of Section 42 of this act shall apply.

4 B. A claim based on a contract entered into by a trustee in the
5 trustee's fiduciary capacity, on an obligation arising from
6 ownership or control of trust property, or on a tort committed in
7 the course of administering a trust, may be asserted in a judicial
8 proceeding against the trustee in the trustee's fiduciary capacity,
9 whether or not the trustee is personally liable for the claim.

10 SECTION 70. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section **1610.6** of Title 60, unless there
12 is created a duplication in numbering, reads as follows:

13 A. Except as otherwise provided in subsection C of this section
14 or unless personal liability is imposed in the contract, a trustee
15 who holds an interest as a general partner in a general or limited
16 partnership is not personally liable on a contract entered into by
17 the partnership after the trust's acquisition of the interest if the
18 fiduciary capacity was disclosed in the contract or in a statement
19 previously filed pursuant to the Oklahoma Revised Uniform
20 Partnership Act or Oklahoma Uniform Limited Partnership Act of 2010.

21 B. Except as otherwise provided in subsection C of this
22 section, a trustee who holds an interest as a general partner is not
23 personally liable for torts committed by the partnership or for
24

1 obligations arising from ownership or control of the interest unless
2 the trustee is personally at fault.

3 C. The immunity provided by this section does not apply if an
4 interest in the partnership is held by the trustee in a capacity
5 other than that of trustee or is held by the trustee's spouse or one
6 or more of the trustee's descendants, siblings, or parents, or the
7 spouse of any of them.

8 D. Except as otherwise provided by Oklahoma law, if the trustee
9 of a revocable trust holds an interest as a general partner, the
10 settlor is personally liable for contracts and other obligations of
11 the partnership as if the settlor were a general partner.

12 SECTION 71. NEW LAW A new section of law to be codified
13 in the Oklahoma Statutes as Section **1610.7** of Title 60, unless there
14 is created a duplication in numbering, reads as follows:

15 A. Instead of furnishing a copy of the trust instrument to a
16 person other than a beneficiary, and in lieu of or in addition to a
17 memorandum of trust under subsection A of Section 175.6 of Title 60
18 of the Oklahoma Statutes, the trustee may furnish to the person a
19 certification of trust containing the following information:

20 1. That the trust exists and the date the trust instrument was
21 executed;

22 2. The identity of the settlor;

23 3. The identity and address of the currently acting trustee;

24 4. The powers of the trustee;

1 5. The revocability or irrevocability of the trust and the
2 identity of any person holding a power to revoke the trust;

3 6. The authority of co-trustees to sign or otherwise
4 authenticate and whether all or less than all are required in order
5 to exercise powers of the trustee;

6 7. The trust's taxpayer identification number; and

7 8. The manner of taking title to trust property.

8 B. A certification of trust under this section may be signed or
9 otherwise authenticated by any trustee.

10 C. A certification of trust under this section must state that
11 the trust has not been revoked, modified, or amended in any manner
12 that would cause the representations contained in the certification
13 of trust to be incorrect.

14 D. A certification of trust under this section need not contain
15 the dispositive terms of a trust.

16 E. A recipient of a certification of trust under this section
17 may require the trustee to furnish copies of those excerpts from the
18 original trust instrument and later amendments which designate the
19 trustee and confer upon the trustee the power to act in the pending
20 transaction.

21 F. A person who acts in reliance upon a certification of trust
22 under this section without knowledge that the representations
23 contained therein are incorrect is not liable to any person for so
24 acting and may assume without inquiry the existence of the facts

1 contained in the certification. Knowledge of the terms of the trust
2 may not be inferred solely from the fact that a copy of all or part
3 of the trust instrument is held by the person relying upon the
4 certification.

5 G. A person who in good faith enters into a transaction in
6 reliance upon a certification of trust under this section may
7 enforce the transaction against the trust property as if the
8 representations contained in the certification were correct.

9 H. A person making a demand for the trust instrument in
10 addition to a certification of trust under this section, or excerpts
11 of the trust instrument, is liable for damages if the court
12 determines that the person did not act in good faith in demanding
13 the trust instrument.

14 I. This section does not limit the right of a person to obtain
15 a copy of the trust instrument in a judicial proceeding concerning
16 the trust.

17 **ARTICLE 11**

18 **MISCELLANEOUS PROVISIONS**

19 SECTION 72. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section **1611.1** of Title 60, unless there
21 is created a duplication in numbering, reads as follows:

22 The provisions of this act governing the legal effect, validity,
23 or enforceability of electronic records or electronic signatures,
24 and of contracts formed or performed with the use of such records or

1 signatures, conform to the requirements of Section 102 of the
2 Electronic Signatures in Global and National Commerce Act (15
3 U.S.C., Section 7002) and supersede, modify, and limit the
4 requirements of the Electronic Signatures in Global and National
5 Commerce Act.

6 SECTION 73. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section **1611.2** of Title 60, unless there
8 is created a duplication in numbering, reads as follows:

9 If any provision of this act or its application to any person or
10 circumstances is held invalid, the invalidity does not affect other
11 provisions or applications of this act which can be given effect
12 without the invalid provision or application, and to this end the
13 provisions of this act are severable.

14 SECTION 74. NEW LAW A new section of law to be codified
15 in the Oklahoma Statutes as Section **1611.3** of Title 60, unless there
16 is created a duplication in numbering, reads as follows:

17 A. Except as otherwise provided in this act, on the effective
18 date of this act:

19 1. This act applies to all trusts created before, on, or after
20 its effective date;

21 2. This act applies to all judicial proceedings concerning
22 trusts commenced on or after its effective date;

23 3. This act applies to judicial proceedings concerning trusts
24 commenced before its effective date unless the court finds that

1 application of a particular provision of this act would
2 substantially interfere with the effective conduct of the judicial
3 proceedings or prejudice the rights of the parties, in which case
4 the particular provision of this act does not apply and the
5 superseded law applies;

6 4. Any rule of construction or presumption provided in this act
7 applies to trust instruments executed before the effective date of
8 the act unless there is a clear indication of a contrary intent in
9 the terms of the trust; and

10 5. An act enacted before the effective date of the act is not
11 affected by this act.

12 B. If a right is acquired, extinguished, or barred upon the
13 expiration of a prescribed period that has commenced to run under
14 any other statute before the effective date of the act, that statute
15 continues to apply to the right even if it has been repealed or
16 superseded.

17 C. The applicable provisions of the Oklahoma Trust Act shall
18 continue to apply, unless such provision is inconsistent with an
19 express provision of this act, and further, except as expressly
20 provided in this act.

21 SECTION 75. This act shall become effective November 1, 2025.

22 COMMITTEE REPORT BY: COMMITTEE ON JUDICIARY
23 April 8, 2025 - DO PASS AS AMENDED
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